VIETSTYLE COMMERCE

SOP-INV-002
Cycle Count Procedure and Inventory Adjustment

Version v1.0 | 16/10/2026 | Owner: Inventory Manager

SIMULATION DOCUMENT FOR DATATHON 2026. Operating thresholds, lead times, KPIs, and approval levels are simulated proposals that must be approved by the business owner before real-world use. The dataset does not clearly specify currency and does not provide inbound PO, warehouse-level inventory, or backorder data. Do not treat sample results as current inventory figures.

Step	Required output
1. Preparation	SKU / location list, count scope, and transaction freeze time if needed
2. Independent count	Actual quantity; counter; timestamp; photos / exception notes
3. Reconciliation	Absolute and percentage variance, and value impact if available
4. Investigation	Root cause and supporting documents
5. Approval	Approver independent of the counter / adjustment-entry person
6. Update	Adjustment with an audit trail; notify the Planner if ROP is affected

1. Purpose and Scope

Applies to fashion and outdoor SKUs in warehouses / fulfillment locations in the VietStyle Commerce model. This SOP covers cycle counts, event-triggered counts, and variance adjustments. It does not replace receiving procedures or QA for returned goods.

2. When Is an Ad Hoc Count Required?

- A SKU has a fill rate below 95% or experiences a stockout while the system still records high inventory.
- Both stockout_flag and overstock_flag are enabled; recalculated days of supply exceeds 120 days while a stockout signal remains.
- A SKU has recurring variances, high value, suspected loss, barcode errors, or size/color mismatches.
- After a major campaign, warehouse-location change, SKU-code change, large return, or system incident.

3. Preparation Before Counting

- The Inventory Controller exports the SKU list, location, unit of measure, snapshot timestamp, and system quantity.
- The Warehouse Supervisor assigns counters; counters must not see system quantities when blind counting is used.
- Freeze transactions at the location being counted or record every transaction occurring during the count window.
- Prepare scanners, quarantine labels, recording forms, cameras, and a plan for goods being picked, packed, or transferred.

4. Counting and Reconciliation

- Count by SKU + size + color + location; do not combine similar variants.
- Record actual quantity, unit of measure, counter, timestamp, and packaging

condition.

- If a variance exists, have a second person recount before changing the data.
- Reconcile receipts, picks, shipments, returns, transfers, cancellations, and transactions pending synchronization.
- Absolute variance = |counted quantity − system quantity|; variance rate = variance / max(system quantity, 1).

5. Handling Thresholds and Approval

Situation	Minimum action	Approver
No variance	Close the ticket; retain the audit trail	Warehouse Supervisor
Small variance with a clear cause and evidence	Recount and document; update after approval	Inventory Controller / Supervisor
Recurring, high-value variance or a variance above internal thresholds	Hold related transactions; investigate the root cause	Inventory Manager + Finance
Suspected fraud / loss / counterfeit goods	Quarantine the SKU, preserve evidence, and notify Compliance / Operations	Operations / Compliance

6. Do Not Automatically Reorder When Data Conflicts

If recalculated inventory indicates more than 120 days of supply but a stockout signal exists (stockout_days >= 1 or fill_rate < 95%), mark **DATA CONFLICT.** Temporarily block automatic PO recommendations and check available inventory, held stock, unshipped orders, the snapshot timestamp, and the days-of-supply formula. Reopen the replenishment decision only after the Inventory Controller records a conclusion.

7. System Update and Ticket Closure

- Every adjustment must include a ticket ID, policy ID, SKU, before/after quantities, reason code, evidence, data-entry person, and approver.
- Do not delete old transactions or directly edit source files; use traceable adjustment transactions.
- Notify the Planner when a variance affects ROP, target stock, or order fulfillment capability.
- Close the ticket after approval, successful system synchronization, and exception-report updates.

8. Records Retention

Retain count lists, recount results, photos / supporting documents, root-cause analyses, approvals, transaction IDs, and synchronization timestamps for the retention period specified by the business. For AI/RAG data, retain metadata: policy_id, owner, effective_date, version, approval_status, and source_document.

Minimum Form Fields

Field	Content
Count ID / Date	Ticket ID / count timestamp
SKU / Size / Color / Location	Variant and location identifiers
System Qty / Counted Qty	System quantity / actual counted quantity
Variance / Reason Code	Variance / reason
Evidence / Counter / Reviewer	Evidence / counter / approver
Adjustment Transaction ID	Post-approval adjustment transaction ID